

SOUN pitch deck

PITCH — SOUN — VERDICT

PROPOSED — PENDING ADJUDICATION — No position and no order today at \$6.97; both benches land on flat, and the deck's ask is a *dated reopen*, not a buy.

What we believe

SoundHound sells voice AI — into cars, restaurant drive-thrus, and enterprise call centers. The business is growing fast on the top line (first half 2026 revenue \$106.1M, up ~48% year over year) and the gross margin widened from 39.0% to 45.1%. The U.S. line, which is the part hardest to fake, grew 60% year over year (\$22.7M → \$36.4M). Cash burned per dollar of revenue improved even though burn in absolute dollars rose.

So the pessimistic story people tell about this cohort — *growth decelerates, margins erode, cash burns* — does not describe what the June quarter actually printed. On the company's own audited numbers, growth accelerated, margin expanded, and burn intensity fell.

What we do **not** believe is that this is buyable now. Three things sit between the business and a position:

1. **The growth is lumpy in a way that has nothing to do with the product.** Roughly 93% of the sequential revenue jump came from two country lines that were near zero one quarter earlier — Colombia (\$118K → \$7.65M) and China (\$0 → \$8.97M) — while Ireland collapsed 96% (\$5.47M → \$0.21M). Two country lines were 26.8% of the entire June quarter.
2. **Revenue is being booked well ahead of billing.** Contract assets are \$34.8M current and \$48.1M non-current, and they consumed \$16.9M of cash in the half while receivables *fell* 16%. That is the real cash-quality question, and it is unanswered.
3. **We can see a wave of stock about to hit the tape, and we're the ones predicting it.** The LivePerson deal issues roughly 42.4M new shares to distressed noteholders with registration rights and no disclosed lockup. Buying into selling you yourself forecast is the one thing our own rules forbid outright.

What the market believes

The sell side carries a Buy consensus with an average target of about \$12.71 — roughly 82% above the current \$6.97 ([stockanalysis.com](https://www.stockanalysis.com)). That target underwrites the company's raised FY26 guide of \$230–260M as *organic* revenue, i.e. it treats Colombia and China as recurring rather than as one-off recognition events.

Meanwhile the tape disagrees with the sell side violently: the stock is down 68.6% from its 52-week high of \$22.17 and sits 23.4% above its 52-week low of \$5.65. Market cap is \$3.10B on 444.1M shares;

enterprise value about \$2.98B after \$202.8M of cash and the \$83.6M earnout. That's roughly 12–14x this year's revenue depending on whose FY26 number you use — a real de-rate from where this traded, but not a cheap number.

The market is not pricing distress. It is pricing “growth stock that lost its premium.” Our disagreement with it is narrower than the price chart implies.

Why we might have edge

- **The revenue disaggregation is on page whatever of the 10-Q and nobody reads it.** The consensus number depends on Colombia and China repeating. We have looked at the country table and can see they are step-functions, not ramps ([revenue by geography](#)). China in particular showed ~\$0 in the first quarter of *both* 2025 and 2026 and a large second quarter in both — that is a calendar artifact (annual royalty true-ups), not acceleration.
- **The GAAP headline is not comparable year over year and almost every write-up treats it as if it is.** A \$286.9M earnout liability has been marked down to \$83.6M over 18 months with only \$3.5M actually paid in cash. In the first half of 2025 that mark produced a \$144.7M gain and a *positive* \$54.9M net income; the first half of 2026 shows a \$67.8M loss. Anyone comparing those two halves is comparing an accounting mark, not a business ([fair-value rollforward](#)).
- **There is a known, dated, mechanical supply event.** The merger's noteholder consideration, the ~42.4M shares, and the \$7.00 price floor are all disclosed and all schedulable. Most of the market treats merger closes as binary news; the supply is the tradeable part, and it has a date attached.
- **We have an unnamed acquisition nobody has asked about.** The cash flow statement shows a \$26.5M “payment related to asset acquisition” in the half. The target is not named in the statement. That is either a benign asset purchase or a second deal being done while the first one's earnout is written down 71% — and no one appears to have looked.

Why it might be priced in

Stated plainly, because much of it probably is:

- The stock is already down 69%. The market has clearly stopped paying for the growth story. Our “concentration” finding may simply be the reason the multiple already compressed.
- The dilution is public. The 8-K/425 has been on file since April 2026; the share count is on the 10-Q cover. Nothing about the 42.4M shares is secret.
- The \$7.00 floor is a widely-read term, and it makes the flow *predictable*, which usually means pre-traded. Merger-arb desks have modeled this. We are not early to it.
- Our best fundamental positive — 60% U.S. growth — is visible in the same table we're using for the negative. If the disaggregation is our edge, it is also everyone else's.

- Our best fundamental negative — the contract-asset build — is the one thing here that we genuinely think is under-covered. But “under-covered” is a claim about attention, not about mispricing, and we have not demonstrated it moves the price.

Honest summary: this is a **sizing and timing** disagreement with the market, not a “they’re wrong about the business” disagreement. Our red bench argued it was the latter, and its case did not survive review.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Adjusted EBITDA improved 33%, burn is getting better”	Pulled the actual cash flow statement, R6	Operating cash burn went worse in dollars: $-\$43.7\text{M} \rightarrow -\60.0M	Half-confirmed. Red called it “burn worsened 37%” and stopped there. Blue decomposed it: \$16.9M of that is the contract-asset build (vs \$6.3M prior). Ex that, burn rose 13% on 48% revenue growth. Burn per dollar of revenue improved. Red’s framing was wrong.
“The 610bp gross-margin gain came from capitalizing costs”	Opened the individual investing lines red only saw in total	Investing $\$32.7\text{M} = \text{PP\&E } \$0.8\text{M} + \text{capitalized software } \$5.4\text{M} + \text{asset acquisition } \26.5M	Refuted — this was our own bench’s error. Red’s own stated disconfirmer was “capitalized software under \$5M”; actual is \$5.4M, and capitalized development relieves R&D, not cost of goods, so it cannot explain gross margin. It <i>does</i> flatter adjusted EBITDA by up to $\sim \\$2.7\text{M}/\text{quarter}$ against a $-\\$9.6\text{M}$ number — material, and we keep that reduced version.
“42% of the sequential growth is one new Colombian customer”	Country-level revenue table, R43	Colombia contributed $\$7.53\text{M}$ of the $\$17.7\text{M}$ sequential gain = 42.5%	Confirmed — and understated. Blue found China was bigger: $\\$0 \rightarrow \\8.97M, another 51%. Together 93% of the headline sequential

Claim	How checked	Found	Confirmed?
“Strip Colombia and FY26 lands below the raised \$230M floor”	Re-ran it against actual second-half seasonality	Red flat-lined Q2 twice → \$214.6M. Actual second-half/first-half shape: 1.35x in FY25, 2.38x in FY24. Applying 1.35x to an ex-Colombia second half: \$106.1M + \$132.8M = \$238.9M, above the floor	growth. Red missed the larger of the two. Refuted — our own bench’s error. This was red’s only mechanism for disagreeing with the Street, and it dies on a check red was required to run and skipped.
“No debt”	Balance sheet, R2	Contingent acquisition liability \$83.6M; total liabilities \$177.5M; cash \$202.8M	Partly. “No borrowings” is accurate — no maturity, no covenants, no fixed charge. “No claims against the company” is not. Red overstated by calling it debt; blue also caught red using it as debt in one argument and as evaporating in the next.
“The improved net loss is just the earnout mark”	Rollforward, R64	Q1’26 \$87.3M → Q2’26 \$83.6M with \$3.5M cash settled ⇒ fair-value change in the quarter ≈ -\$0.16M	Refuted for the quarter cited — our own bench’s error. The June quarter is earnout-clean. Red got its “\$122.8M adverse swing” only by switching to a six-month window where a Q1’25 gain does the work. That is the same base-effect trick we criticize others for.
“45% growth is only 31% per share”	Cover page, R1	444,109,844 shares (Class A 411.6M + Class B 32.5M) as of 2026-08-06; ~486.5M after the merger issuance	Confirmed, though built on a mismatched comparison (weighted-average diluted vs point-in-time outstanding). The error runs conservative — real share growth is worse, not better. Offsetting: the at-the-market program halved, \$75.6M → \$48.5M, while

Claim	How checked	Found	Confirmed?
			revenue grew 48%. Dilution is decelerating.
Runway	Cash vs recurring pre-financing consumption	Red: ~13 months. Blue: ~18 months	Blue's is right; red annualized a one-time \$26.5M acquisition as if it recurs. ~\$66.2M per half against \$202.8M cash.
Does the \$7.00 merger floor protect us?	8-K/425 dated 2026-04-21	Floor text confirmed verbatim: if the price "falls below \$7 per share, 'Company Closing Stock Price' will be \$7." It is measured on a 10-day volume-weighted average ending three days before close , not spot	Confirmed as to the floor; the termination and break provisions were never read. At a \$5.00 stress price noteholders receive ~\$186M of stock against \$261.2M of par — distressed creditors do not passively accept 71 cents. Whether they can walk is unknown.
Backlog / remaining performance obligations	Searched the 10-Q	Not disclosed. No RPO, no cRPO, no backlog figure	Cannot be checked. The absence is itself the finding: non-current contract assets grew 61% while receivables fell 16%.
Detector roster	Reviewed both benches' consulted lists	Red ran cosmetics and construction-permit detectors that were not on this case's list and skipped the ones that were	Our own process error, logged. Blue ran the correct roster and cleared the China-smallcap pattern (Delaware-domiciled, Big-4 audited, no Cayman/VIE structure; China revenue is auto royalties).
Data plumbing	Both benches	The evidence pack's share-count series stops at 2025-06-30 — stale by four quarters. Broker market-data lookup was permission-denied this session	Both benches hit the same stale block. No short interest, no intraday data. Ticket owed.

Two additional honesty notes on our own work:

- Blue's seasonality rebuttal (the 1.35x) is drawn from FY24 and FY25, periods that span the Amelia acquisition. Whether 1.35x is organic seasonality or acquisition timing has **not been separated**.

The rebuttal is good enough to kill red's claim; it is not good enough to underwrite the guide.

- Neither bench established *why* the earnout is being marked down — management downgrading the acquired business, or simply the share price falling from \$24 to \$6.97 if the payout is stock-linked. The disclosure carries no valuation-input narrative. That difference matters and we don't have it.

PROPOSED ENTRY BANDS

Both benches say no entry. These are reopen conditions, not a buy.

No trade at \$6.97. Not because the business is broken — on the checks above it isn't — but because ~42.4M shares are scheduled into the hands of distressed noteholders with registration rights and no disclosed lockup, and we are the ones forecasting that supply. We do not bid into flow we predict.

Reopen — Tranche 1 (starter, 0.5% of the book, no leverage, no options): Requires **all four**:

1. The noteholder distribution has *cleared*, verified by share count on the next cover page or by a 13G/D or Form 4 trail — not by the price merely stabilizing. 2. Price in the **\$5.65–\$7.00** band. \$7.00 is the merger floor level; \$5.65 is the 52-week low. Below \$7.00 the deal math pins the exchange price at \$7.00, which maximizes shares issued — so a sub-\$7 tape is a *supply* signal, not a value signal, until the distribution is confirmed done. 3. Third-quarter numbers show **U.S. revenue ≥ \$40M** (from \$36.4M) — the organic engine test. 4. Third-quarter numbers show **contract assets growing slower than revenue** — the cash-quality test.

Reopen — Tranche 2 (a second 0.5%, ceiling 1.0% total): Requires Tranche 1 filled **plus** either: - Colombia ≥ \$7M recurring with a named multi-year contract disclosed, **or** - Operating cash burn in the second half of 2026 below \$30M.

Void conditions (reopen is cancelled, not deferred): - **Below \$5.00** without a fundamental cause — that is the scenario where noteholders take ~71 cents on par and the unread termination provisions become live. We do not buy a deal whose break terms we haven't read. - **Above \$9.63** (the 26-week high) before the third-quarter print — the market has repriced ahead of our verification and our entry logic no longer applies; re-court from scratch.

Sizing rationale: everything that survived the court routes to size and timing, not to a kill. Concentration (two countries = 27% of a quarter), the contract-asset build, ongoing dilution, and the unread deal-break terms are each a reason to own less, later — not a reason to own none forever. Hence a capped starter rather than a full position, and hence dated gates rather than “wait and see.”

Catalyst dates: - **2026-09-02 — LivePerson special meeting.** Both benches name this date; neither cited a primary document line for it. **Verify against the merger proxy before arming anything on it.** - **Merger close and noteholder share issuance** — follows the vote; **no date established.** The exchange price is set on a 10-day volume-weighted average ending three days before close, so the relevant measurement window starts before the close date itself. - **2026-11-05 — third-quarter results. Unconfirmed** — derived from a data vendor's estimate, not from any company announcement. Last confirmed cadence: Q1 on 2026-05-07, Q2 on 2026-08-05.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.0 (deck-provisional: Noteholder recovery falls to ~71 cents on \$261.2M par; deal-break and renegotiation risk becomes live)
- filing watch: S-3,424B3,EFFECT until 2027-02-16 (deck-provisional: Registration of the ~42.4M noteholder shares — the starting gun on supply, with no lockup disclosed.)
- dated pack SOUN|2026-09-02: SOUN: LivePerson special meeting on the merger — named by both benches but not tied to a primary document line in this pack; verify against
- dated pack SOUN|2026-11-05: SOUN: Third-quarter results — vendor-estimated date only; no company announcement names it. Last confirmed cadence Q1 2026-05-07, Q2 2026-08

What remains unverified

1. **The merger's termination and break provisions.** We confirmed the \$7.00 floor language verbatim in the [8-K/425 of 2026-04-21](#). We never read whether noteholders can walk or force renegotiation below \$7.00. This is the single largest hole and it binds sizing directly.
 2. **The \$26.5M asset acquisition.** Target unnamed in the cash flow statement. A second acquisition while the previous earnout is written down 71% is either routine or it is the story; we don't know which.
 3. **Why the earnout is being marked down.** Management's view of the acquired business deteriorating, or a share-price-linked payout mechanically shrinking as the stock fell from \$24 to \$6.97. The disclosure gives no valuation inputs.
 4. **Whether Colombia and China recur.** No contract terms, no counterparty names, no duration. Everything about the FY26 guide turns on this and none of it is disclosed.
 5. **Whether 1.35x is real seasonality.** The second-half/first-half ratio we used to defend the guide spans an acquisition period and has not been separated into organic vs acquired.
 6. **Backlog.** No remaining-performance-obligation disclosure exists, so we cannot independently test whether the contract-asset build is healthy pre-billing recognition or a receivable in disguise.
 7. **Short interest and intraday liquidity.** Broker access was denied; we have no read on positioning into the merger flow.
 8. **The next earnings date.** Vendor-derived only.
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